

Projected Y11 Performance ⓘ		
Scoring Measures	Year 11	Investor Expectations
Earnings Per Share	\$2.28	\$2.50
Return On Equity	19.6%	21.0%
Credit Rating	A–	B+
Image Rating	64	70
Other Measures	Year 11	Change from Y10
Net Revenues (\$000s)	448,270	+3.6%
Net Profit (\$000s)	45,682	+14.2%
Ending Cash (\$000s)	53,933	+47,859

		North America Market		Europe-Africa Market		Asia-Pacific Market		Latin America Market	
		Year 10	Year 11	Year 10	Year 11	Year 10	Year 11	Year 10	Year 11
Marketing variables generated by production and marketing decisions in Y11.	S/Q Rating (weighted average)	4.0 ★	4.0 ★	4.0 ★	4.0 ★	4.0 ★	4.1 ★	4.0 ★	4.1 ★
	Models Available (weighted average)	200	200	200	200	200	200	200	200
	Brand Advertising (\$000s)	10,000	10,000	9,000	9,000	8,000	8,000	7,500	7,500
Internet Marketing Decisions	Retail Price (\$ per pair sold online)	67.00	67.00	72.00	72.00	67.00	67.00	72.00	72.00
	Retail Price Exceeds Wholesale Price by	40%	40%	36%	40%	40%	40%	36%	40%
	Search Engine Advertising (\$000s)	5,000	5000	4,500	4500	4,000	4000	4,000	4000
	Free Shipping (from warehouse to buyer)	No	No	No	No	No	No	No	No
Marketing variables determined by prior-year decisions / outcomes.	Celebrity Appeal (sum of appeal indices for all celebrities under contract)	0	0	0	0	0	0	0	0
	Brand Reputation (prior-year image rating)	70	70	70	70	70	70	70	70

	Year 10 Actual	Year 11 Projected	Year 10 Actual	Year 11 Projected	Year 10 Actual	Year 11 Projected	Year 10 Actual	Year 11 Projected
Internet Market Share (% of total regional sales volume)	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%
Internet Sales Volume (000s of pairs sold to online customers)	353	399	300	339	225	265	225	265

Revenue, Cost, and Profit Projections for Year 11		\$000s	\$/pair	\$000s	\$/pair	\$000s	\$/pair	\$000s	\$/pair
	Gross Internet Revenues	26,733	67.00	24,408	72.00	17,755	67.00	19,080	72.00
	± Exchange Rate Adjustments	0	0.00	0	0.00	0	0.00	0	0.00
	Adjusted Gross Revenues	26,733	67.00	24,408	72.00	17,755	67.00	19,080	72.00
	+ Shipping Fees (paid by customer)	4,988	12.50	4,238	12.50	3,313	12.50	3,313	12.50
	Net Internet Revenues	31,721	79.50	28,646	84.50	21,068	79.50	22,393	84.50
	Cost of Pairs Sold	10,000	25.06	10,530	31.06	5,892	22.23	8,807	33.23
	Warehouse Expenses	5,159	12.93	4,408	13.00	3,489	13.17	3,489	13.17
	Marketing Expenses	7,801	19.55	7,134	21.04	6,525	24.62	6,439	24.30
	Administrative Expenses	800	2.01	680	2.01	531	2.00	531	2.00
	Operating Profit (Loss)	7,961	19.95	5,894	17.39	4,631	17.48	3,127	11.80
	Operating Profit Margin	25.1%		20.6%		22.0%		14.0%	

Estimated industry averages for these marketing variables are entered on the Wholesale Marketing decision entry page.	S/Q Rating	4.0		4.0		4.0	
	Models Available	200		200		200	
	Brand Advertising (\$000s)	10,000		9,000		8,000	
	Retail Price (\$ per pair)	\$ 67.00		\$ 72.00		\$ 67.00	
	Search Engine Advertising (\$000s)	\$ 5000		\$ 4500		\$ 4000	
	Free Shipping	None		None		None	
Industry averages for these variables determined by prior-year decision entries and outcomes.	Celebrity Appeal	0		0		0	
	Brand Reputation	70		70		70	

Competitive Assumptions

Enter your estimates of the industry average marketing efforts that will prevail in each wholesale segment in Year 11. The more accurate your estimates are, the more accurate your projected market shares and unit sales will be.